

EG China QUICKTAKE: China's GDP slump deepens divide between exports and domestic demand

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China QuickTake

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China's GDP slump deepens divide between exports and domestic demand

Short-term trajectory:

Long-term trajectory:

What happened:

On 15 July, China's National Bureau of Statistics reported that second quarter GDP grew 4.3% year-on-year, which, taken with other data releases, shows a growing contrast between export- and tech-driven expansion against stalling investment, fragile consumption.

Our take:

Reported real GDP growth slowed significantly, but Beijing is unlikely to announce new stimulus measures. The real GDP figure was the lowest on record, excluding the pandemic years of 2020-2022. The overall first-half growth rate, however, is still in line with the full-year target of 4.5%-5%. Nominal GDP increased to 5.9% in the second quarter due to rising prices for energy and materials; this is an effect of the Iran crisis, not a sign of domestic recovery. Fiscal and infrastructure spending are likely to accelerate in the second half if net exports fall short. The Politburo, which will meet in the last week of July, will likely accelerate planned projects rather than launch new stimulus measures.

Domestic demand remains weak. In the first half, retail sales grew by only 1.3% and fixed asset investment contracted by 5.7%. Declining auto sales—due to reduced EV subsidies and reduced demand for traditional cars amid high fuel prices—explain the retail slump. Meanwhile, property and infrastructure investment both contracted, weighing on overall investment. However, the broader household survey indicates that nominal household consumption expenditure grew 3.7%, reflecting service consumption outpacing goods. Meanwhile, high-tech products are driving exports, with goods related to AI supply chains now making up 22.5% of the total, up from 18.6% in 2025. This strength fed through to the factory floor: industrial output rose 5.4% in the half.

Chinese leaders are focused on expanding the techno-industrial base and reining in credit growth. They are prepared to wait for worse data before announcing new stimulus measures. Beijing feels relatively confident in China's high-tech production, exports, and the geopolitical environment, and growth is technically still on target. Chinese leaders see the transition to consumption led growth as a medium-term objective; this is why the State Council on 13 July released a plan to expand retail sales to about 60 trillion yuan (\$8.85 trillion) by 2030, implying annual nominal growth of 3.7%. That's well above the 1.3% recorded in the first half of this year, but practical measures are yet to be seen.

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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